DEPARTMENT OF COMPUTER SCIENCE AND ENGINEERING
UNIVERSITY COLLEGE OF ENGINEERING (A)
Osmania University, Hyderabad-07

CLASS TEST-II

Managerial Economics & Accountancy

Class: B.E(CSE)
SEMESTER: IV
Academic Year: 2025-26

Max Marks: 30
Duration: 90 Minutes
Date: 07-05-2026

S. No.		Marks	BT	CO
	PART A **Answer All Questions (10 M)**			
1. a)	What do you mean by production?	2	3	2
b)	What is Break – Even Analysis?	2	3	2
c)	Explain different types of capital?	2	4	3
d)	What do you mean by working capital?	2	4	2
e)	Explain different types of markets?	2	3	2
	PART B **Answer Any Two Questions (20 M)**			
2.	What do you mean by funds? How funds are generated and their usages.	10	4	3
3.	The following information is collected from the records of a company Production and Sales - 3000 units Selling price per unit - Rs.20 Material cost per unit - Rs.10 Labour cost per unit - Rs. 4 Overhead cost per unit is 50 % on labour cost Total fixed costs – Rs. 6000 Calculate : 1) P/V Ratio 2) BEP in units and volume 3) Margin safety in terms of units and volume Sales required to earn a profit of Rs.80,000/-	10	3	2
4.	A firm is planning to invest in a project you are required to calculate payback period and net present value the companies required rate of return is 10% the initial investment is Rs.50,000 and expected life 5 years the net cash flows after taxes as follows: Year – Cash in flows (Rs.) 1. 14,000 2. 16,000 3. 18,000 4. 20,000 5. 25,000 The factor value at 10 % is Year – Factor Value 1. 0.909 2. 0.826 3. 0.751 4. 0.683 5. 0.621	10	3	2